



Saint Ignatius' College, Riverview

2024 TRIAL HIGHER SCHOOL CERTIFICATE EXAMINATION

Economics

General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- Calculators approved by NESA may be used

Total marks: 100

Section I – 20 marks (pages 2–9)

- Attempt Questions 1–20
- Allow about 35 minutes for this section

Section II – 40 marks

- Attempt Questions 21–24
- Allow about 1 hour and 15 minutes for this section

Section III – 20 marks (pages 10–11)

- Attempt either Question 25 or Question 26
- Allow about 35 minutes for this section

Section IV – 20 marks (page 12)

- Attempt either Question 27 or Question 28
- Allow about 35 minutes for this section

Section I

20 marks

Attempt Questions 1–20

Allow about 35 minutes for this section

Use the multiple-choice answer sheet for Questions 1–20.

- 1 Which of the following best describes Gross World Product?
 - A. The total sum of economic activity of the world
 - B. The total sum of economic activity of the OECD
 - C. The total sum of economic activity in the advanced economies
 - D. The total sum of economic activity in high and low income economies

- 2 Which of the following is the main role of the World Bank?
 - A. To resolves trade disputes
 - B. To help fund investment in infrastructure
 - C. To ensure stability in global financial markets
 - D. To provide resources and information to member countries

- 3 Which of the following is considered a legally binding dispute resolution process?
 - A. Mediation
 - B. Arbitration
 - C. Conciliation
 - D. Industrial action

- 4 In an economy with a managed exchange rate, the currency has appreciated above target. Which of the following actions would the central bank take to return it to target?
 - A. Buy foreign currency to appreciate
 - B. Sell foreign currency to depreciate
 - C. Buy local currency to appreciate
 - D. Sell local currency to depreciate

- 5 The minimum wage in Australia increased.

Which of the following is the likely impact of this increase?

- A. The consumer price index will increase
- B. Enterprise agreements will need to be adjusted
- C. The bargaining power of unions will be decreased
- D. There will be a decrease in the level of unemployment in low skilled workers

6 All other things being equal, Australia's international competitiveness would be improved by an increase in which of the following?

- A. Australian inflation
- B. Australian tax rates
- C. Aggregate supply in Australia
- D. The value of the Australian dollar

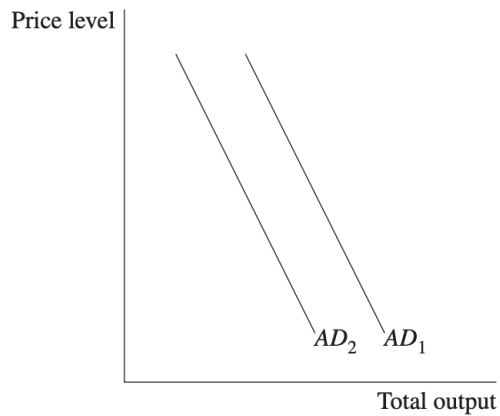
7 The table below shows the change in the export price index and import price index for a hypothetical economy.

<i>Year</i>	<i>Export Price Index</i>	<i>Import Price Index</i>
1	101	97
2	103	98

Which row of the table shows the likely impact of this change.

	<i>Exchange Rate</i>	<i>International Competitiveness</i>
A.	Appreciate	Improve
B.	Depreciate	Improve
C.	Appreciate	Deteriorate
D.	Depreciate	Deteriorate

8 The diagram shows a change in aggregate demand for an economy.



All other things being equal, the shift from AD_1 to AD_2 is most likely to have been caused by which of the following?

- A. A decrease in the AUD
- B. A decrease in house prices
- C. A decrease in the cash rate target
- D. A more equitable distribution of income

9 An economy is experiencing a recession.

Which of the following best describes the role of automatic stabilisers?

- A. The budget deficit increases and spending on healthcare increases
- B. The budget deficit decreases and the average rate of tax decreases
- C. The budget deficit decreases and spending on healthcare increases
- D. The budget deficit increases and the average rate of tax decreases

- 10 The table shows economic information for a hypothetical economy.

<i>Year</i>	<i>Terms of Trade (TOT)</i>	<i>Trade Weighted Index (TWI)</i>
1	110	55
2	120	65

Which of the following best explains the changes in the TOT and TWI from Year 1 to Year 2?

- A. There is an increase in the global demand for this economy's imports and exports
- B. The economy's central bank increases the official cash rate relative to global interest rates
- C. Global demand for the goods this economy imports has increased relative to the global demand for the goods this economy exports
- D. Global demand for the goods this economy exports has increased relative to the global demand for the goods this economy imports

- 11 Which row of the table shows the impact of a decrease in the top marginal tax rate?

	Size of the Gini Coefficient	Shift in the Lorenz Curve
A.	Decrease	Right
B.	Increase	Left
C.	Decrease	Left
D.	Increase	Right

- 12 Which of the following is NOT true when financing a budget deficit?

- A. Monetary financing would result in a currency depreciation
- B. Borrowing from international investors can crowd out international investment
- C. Borrowing from the domestic private sector leads to an increase in public debt
- D. Borrowing from the domestic private sector can crowd out private business investment

- 13** The table shows data for a hypothetical economy.

<i>Year</i>	<i>Change in GDP</i>	<i>Employment (millions)</i>	<i>Unemployment (millions)</i>	<i>Population over 15</i>
1	2.5%	16.7	1.9	24
2	2.9%	17.7	2.1	25

All other things being equal, what is the most likely cause of the change in the unemployment rate and the participation rate in this economy?

- A. An increase in imports
 - B. An increase in the retirement age
 - C. An increase in advertised job vacancies
 - D. A bigger increase in the hidden unemployed than in the employed
- 14** Which of the following most accurately describes an emerging and developing economy?
- A. Small services sector, high population growth rates, less advanced manufacturing
 - B. High exports as a percentage of GDP, small services sector, advanced manufacturing
 - C. Low exports as a percentage of GDP, large services sector, low population growth rates
 - D. Income greater than \$13,845 per capita, high population growth rates, low exports as a percentage of GDP

- 15 The following table shows data for an economy.

<i>Year</i>	<i>Savings</i>	<i>Consumption</i>
1	200	400
2	300	500
3	400	600

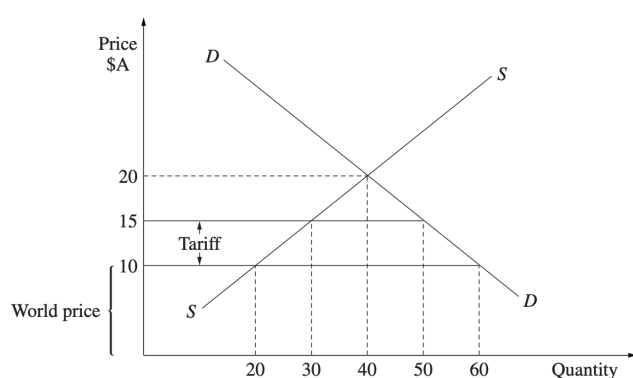
What will be the level of income in Year 4 if imports increase by \$100?

- A. 400
 - B. 500
 - C. 800
 - D. 1200
- 16 Australia's headline annual (CPI) inflation rate has increased from 4% to 5%, while the underlying annual inflation rate remains unchanged at 4%.

The difference in these two measures of inflation is most likely due to

- A. a decrease in world oil supply.
- B. an increase in house supply.
- C. a decrease in childcare costs.
- D. an increase in the minimum wage.

- 17 The diagram shows the effect of a tariff on domestic supply and demand.



The government decides to change the tariff to a \$10 subsidy.

Which combination of outcomes is correct?

	<i>Change in foreign producer revenue (\$)</i>	<i>Change in domestic producer revenue (\$)</i>
A.	200	300
B.	0	-50
C.	0	50
D.	200	-300

- 18 The table shows data for a hypothetical economy.

<i>Year</i>	<i>Nominal GDP (\$bn)</i>	<i>Consumer Price Index (CPI)</i>
1	500	100
2	525	105

All other things being equal, which statement is most likely to be true for this economy?

- A. Real GDP remains unchanged due to a decrease in global economic activity.
- B. Nominal GDP has increased due to an appreciation of the economy's exchange rate.
- C. Nominal GDP has increased due to a decrease in the tariff applied to imported products.
- D. Real GDP remains unchanged due to increases in costs of production for businesses.

- 19 An increase in which of the following is likely to lower the non-accelerating inflation rate of unemployment (NAIRU)?
- A. Official cash rate
 - B. Childcare subsidies
 - C. Government spending
 - D. Use of centralised wage bargaining
- 20 The table shows selected information for the balance of payments for a country with a floating exchange rate.

<i>Component</i>	<i>Amount (\$billions)</i>
Net services	10.3
Exports of goods	35.8
Imports of goods	5.7
Primary account	-28
Unconditional Aid	-5
Capital Account	-3

What is the balance on the financial account?

- A. -\$4.4 B
- B. -\$7.4 B
- C. -\$9.4 B
- D. -\$15.8 B

End of Section I

This page is intentionally left blank

Section III

20 marks

Attempt either Question 25 or Question 26

Allow about 35 minutes for this section

Answer the question in a writing booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
- use the information provided
- apply relevant economic terms, concepts, relationships and theory
- present a sustained, logical and cohesive response

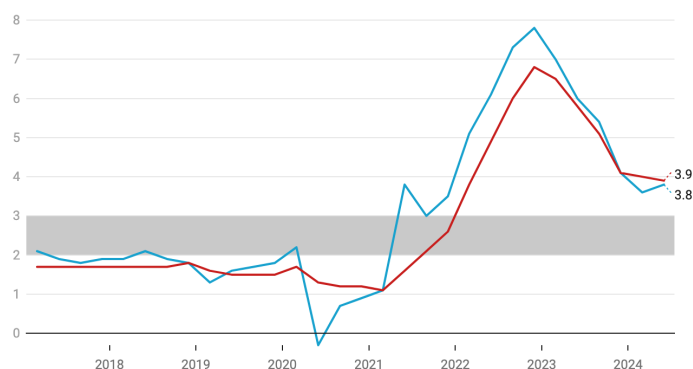
Question 25 (20 marks)

Discuss policy options the Government can use to maintain price stability in Australia. In your answer, refer to the information provided.

Consumer price index (CPI) inflation, annual movement (%)

The shaded area is the Reserve Bank's 2-3% target range for inflation.

— All groups CPI (%) — Trimmed mean (%)



The RBA focuses on "trimmed mean" inflation, which is a measure of underlying inflation.
Chart: ABC • Source: [Australian Bureau of Statistics](#) • [Get the data](#) • Created with [Datawrapper](#)

Government spending that provides additional money to people and organisations can in turn mean the money is used to purchase more goods and services—that is, adding to demand and increasing prices—the ‘demand-pull’ mechanism. Economist’s estimate that for every \$7 billion in additional government spending, the RBA would need to lift the cash rate 0.25 of a percentage point higher than otherwise.

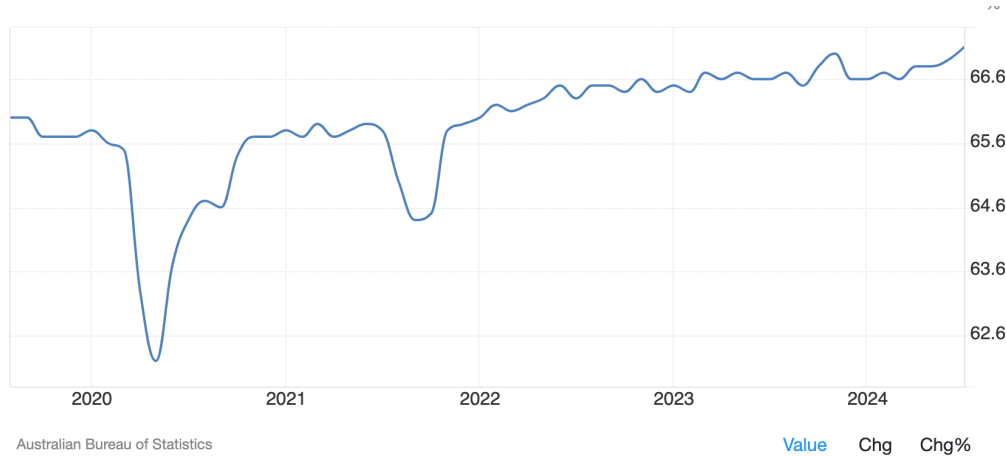
Kate Wagner, Parliament of Australia

OR

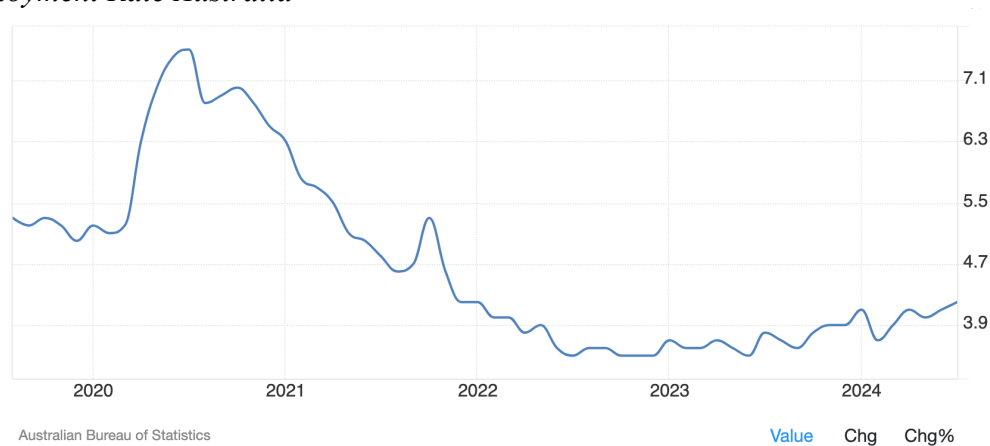
Question 26 (20 marks)

Discuss the impact of the Australian Government's labour market policies on the Australian economy. In your answer, refer to the information provided.

Participation Rate Australia



Unemployment Rate Australia



A rebuilt system must better target investment to areas which have historically been neglected, such as startup programs, job creation and training and skills development. This is likely to involve rebalancing funding priorities as well as some additional expenditure in targeted areas such as wage subsidies or employer driven training.

Parliamentary Business, Chapter 13 – Active Labour market programs

Please turn over

Section IV

20 marks

Attempt either Question 27 or Question 28

Allow about 35 minutes for this section

Answer the question in a writing booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant economic information, terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
-

Question 27 (20 marks)

Analyse the effects of changes in the value of the Australian dollar on the Australian economy.

OR

Question 28 (20 marks)

Analyse the impact of global and domestic free trade and protection policies on the Australian economy.

End of paper

- This page is intentionally left blank -

Economics

Section II

40 marks

Attempt Questions 21-24

Allow about 1 hour and 15 minutes for this section

Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.

Question 21 (10 marks)

- (a) Distinguish between economic growth and economic development.

2

.....

.....

.....

.....

- (b) Explain ONE domestic and ONE global reason for differences in economic development between nations.

4

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

Question 21 continues on the next page.

Question 21 Continued

- (c) Analyse the impact of globalisation on an economy other than Australia.

4

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

End of Question 21

Question 22 (10 marks)

NESA Number _____

- (a) A Canadian investor purchases a small parcel of shares in an Australian company and receives a dividend. **2**

Outline how these transactions would be recorded in the Balance of Payments.

.....

.....

.....

.....

- (b) Outline how net foreign liabilities can be less than net foreign debt. **2**

.....

.....

.....

.....

Question 22 continues on the next page.

Question 22 Continued

- (b) Examine the effects of changes in trade and financial flows on Australia's economic performance.

6

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

End of Question 22

Question 23 (10 marks)

NESA Number _____

- (a) Distinguish between the unemployment rate and the NAIRU. **1**

.....

.....

.....

.....

- (b) Explain the impact of TWO recent Australian economic policies on the distribution of income. **4**

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

Question 23 continues on the next page.

Question 23 Continues

- (c) Analyse the effects of inflation on individuals, business and government.

5

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

End of Question 23

Question 24 (10 marks).

NESA Number _____

(a) Define ecological sustainable development.

2

.....

.....

.....

.....

(b) Explain how governments are restricted in their ability to simultaneously achieve economic objectives.

4

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

Question 24 continues on next page

Question 24 Continued

- (c) Discuss the use of market-based policies and regulations to achieve environmental sustainability. In your answer refer to examples.

4

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

End of Section II



St Ignatius' College
Riverview

2024

12ECO Trials

12 ECONOMICS- Task 4 Trials –Criteria

Multiple Choice

1	A	11	D
2	B	12	B
3	B	13	B
4	D	14	A
5	A	15	C
6	C	16	A
7	C	17	B
8	B	18	D
9	D	19	C
10	D	20	A

Section II

Question 21 (10 Marks)

(a) Distinguish between economic growth and economic development.

<i>Criteria</i>	<i>Marks</i>
Clearly shows the difference between economic growth and economic development.	2
Provides some relevant information	1

Answer could include

Economic growth only includes the increase in total goods and services produced in an economy, whereas economic development also includes quality of life improvements such as years of schooling and life expectancy.

(b) Explain one domestic and one global reason for differences in economic development between nations.

<i>Criteria</i>	<i>Marks</i>
Provides comprehensive understanding of one domestic and one global reasons for difference in economic development between nations	4
provides some understanding of one domestic and one global reasons for difference in economic development between nations.	3
Sketches in general terms of understanding of one domestic and one global difference reasons for in economic development between nations. OR provide some understanding of one domestic or one global difference in economic development between nations	2
makes a relevant statement	1

Answer could include

Domestic factors: Natural endowments, labour supply and quality, access to capital and technology, entrepreneurial culture

Global factors: Global trade system such as trade blocs, global financial architecture, global tech flows, global aid and assistance

(c) Analyse the impact of globalization on an economy other than Australia.

<i>Criteria</i>	<i>Marks</i>
provides comprehensive understanding of the impact of globalization on an economy other than Australia.	4
Provide some understanding of the impact of globalization on an economy other than Australia.	3
Sketches in general turns the impact of globalization on an economy other than Australia.	2
Provides some relevant information	1

Answer could include:

Definition of globalization

Drivers of globalization

- Trade flows

- Financial flows

- Technology, transport, communication

- MNCs

- Global business cycle

Impact on economy other than Australia

- on economic growth and/or components – trade and investment

- role of global financial mkts on EG and ED

- on economic development (GDP per capita, HDI)

- on environment

- on business cycle

- on economic policy

- on income inequality

Question 22 (10 Marks)

- (a) A Canadian investor purchases a small parcel of shares in an Australian company and receives a dividend.

Outline how these transactions would be recorded in the Balance of payments

<i>Criteria</i>	<i>Marks</i>
Sketches in general terms how both the purchase of shares and the dividend transaction would be recorded in the Balance of Payments.	2
Sketches in general terms how either the purchase of shares or the dividend transaction would be recorded in the Balance of Payments.	1

Answer could include

The initial purchase of shares would be a credit in portfolio investment in the Financial account in the Capital and Financial account. The payment of dividends would be a debit in the net primary income account in the current account.

- (b) Outline how net foreign liabilities can be less than net foreign debt

<i>Criteria</i>	<i>Marks</i>
Sketches in general terms how net foreign liabilities can be less than net foreign debt	2
Makes a relevant statement about net foreign liabilities or net foreign debt OR Identifies a link between net foreign liabilities and net foreign debt	1

Answer could include

Net Foreign Liabilities is the sum of Net Foreign Debt and Net Foreign Equity. In a situation where an economy has positive equity / negative foreign equity (i.e. it has investment in overseas assets that exceeds the investment in its own assets from foreign economies) then net foreign liabilities will be less than net foreign debt

Sample Student Answer

(c) Examine the effects of changes in trade and financial flows on Australia's economic performance.

<i>Criteria</i>	<i>Marks</i>
Provides a comprehensive inquiry into the effects of changes in trade and financial flows on Australia's economic performance.	6
Provides an inquiry into the effects of changes in trade and financial flows on Australia's economic performance.	5
Enquires into the effects of either changes in trade or financial flows on Australia's economic performance and sketches in general terms the other	4
Sketches in general terms the effects of changes in trade and financial flows on Australia's economic performance. OR Enquires into the effect of only trade or financial flows	3
Sketches in general terms the effects of either changes in trade or financial flows on some aspect relating to Australia's economic performance	2
Makes a relevant statement about changes in Australia's trade and financial flows on Australia's economic performance.	

Answer could include

Changes in trade – increase in mining exports – improves external stability inspiring investor confidence in Australia. Can contribute to economic growth. Can increase employment in successful exporting industries. Increase in imports can lower prices.

Examples include increased exports due to China's industrialisation led to economic growth.

Changes in financial flows – increased investment can develop industries and create employment. Can then contribute to economic growth. Can mean greater NPY outflows which could be negative for our external stability. Increase in NFE can have the reverse effects.

Restricted supply of fuel as a result of the Ukraine conflict led to cost push inflation reducing purchasing power led to lower economic growth.

During Covid reduction in service exports led to lower employment in these industries.

Question 23 (10 Marks)

(1) Distinguish between the unemployment rate and the NAIRU

Criteria	Marks
Notes the differences between the unemployment rate and the NAIRU.	1

Answer could include

The unemployment rate is the percentage of the labour force that is willing and able to work, actively seeking work, and currently without a job. It includes all types of unemployment including cyclical, structural and frictional. The NAIRU, on the other hand, is the level of unemployment that has the absence of cyclical unemployment.

(2) Explain the impact of TWO recent Australian economic policies on the distribution of income

Criteria	Marks
Relates cause and effect of TWO recent policies on the distribution of income	4
Relates cause / effect of TWO recent policies on the distribution of income	3
Relates cause and effect of ONE recent policy on the distribution of income	2
States ONE recent policy influencing distribution of income	1

Answer could include

One recent policy that has impacted the distribution of income was the JobSeeker Supplement introduced during the COVID pandemic. This supplement effectively doubled the unemployment benefit paid to those people who were out of work and actively seeking work at the time. This has a positive impact on income distribution as it doubled the income of those very low-income earners, allowing them to enjoy greater consumption.

Another recent policy that impacted on income distribution was the low- and middle-income tax offset (LAMINGTON). This was introduced by the government in 2018 as a temporary measure to assist low- and middle-income earners by effectively reducing the amount of tax they paid. It was extended and expanded over the years to provide up to \$1,500 offset, which decreased by 3 cents for every dollar over \$90,000 until it phased out at \$126,000 in 2021. It

was terminated in 2024. This program had positive impacts on income distribution at the time as it favoured the low- and middle-income earners. Its abolition has worsened income distribution.

Other answers may have included the Stage 3 Tax Cuts (worsened distribution), monetary policy (if able to explain how), Childcare subsidies (if explaining how it attracts participants to the workforce), etc.

(c) Analyse the effects of inflation on individuals, business and government

<i>Criteria</i>	<i>Marks</i>
Demonstrates a comprehensive understanding of the effects of inflation on individuals, business and government	5
Demonstrates a sound understanding of the effects of inflation in individuals, business and government	4
Sketches the effects of inflation on individuals, business and government OR Demonstrates a comprehensive understanding of the effects of inflation on any TWO of individuals/ business/ government	3
Makes a relevant statement about the effects of inflation on individuals / business / government	2
Makes a relevant statement about inflation OR an effect(s) of deflation	1

Answer could include

For individuals' inflation reduces their purchasing power and this erosion of real income is the single biggest cost of inflation. Inflation can also distort purchasing power over time of individuals on fixed incomes or with investments on fixed interest rates. Real estate generally acts as a hedge against inflation as asset prices rise, and landlords can raise rents to protect themselves against higher costs.

For business inflation impacts from a supply side: costs of materials and production increase, and it may influence costs associated with trade. Businesses may lose international competitiveness if their costs are increasing at a greater rate than their foreign counterparts. Employees may seek higher wages to compensate for rising costs of living, and these costs will be transferred to consumers through higher prices. Profits may well decrease as business seek to absorb some of the increased costs to maintain market share. Inflation may also

distort business decision making as their future returns cannot not be determined with any accuracy.

For government high inflation may lead to slower economic growth as interest rates rise to combat inflation. This may lead to lower tax revenues and increased borrowing. Higher interest rates make government borrowing and servicing costs more expensive. Government will face pressure to raise the value of welfare benefits to maintain purchasing power for low-income earners.

High inflation may lead to fiscal drag when people's wages are rising in nominal terms which causes them to pay more in direct and indirect taxes. High inflation can cause a reduction in the real value of the government existing outstanding debt. High inflation can cause painful recessions if interest rates are raised to combat a wages-price spiral, causing the central bank to keep raising interest rates.

Question 24 (10 Marks)

(1) Define ecological sustainable development.

Criteria	Marks
Accurately defines ecological sustainable development	2
Makes a relevant statement	1

Answer could include

Using, conserving and enhancing the community's resources so that ecological processes on which life depends, are maintained, and the total quality of life, now and in the future can be increased.

(2) Explain how governments are restricted in their ability to simultaneously achieve economic objectives.

Criteria	Marks
Demonstrates a comprehensive understanding about how governments are restricted in their ability to simultaneously achieve economic objectives	4
Demonstrates sound understanding about how governments are restricted in their ability to simultaneously achieve economic objectives	3
Sketches in general terms how governments are restricted in their ability to simultaneously achieve economic objectives	2
Makes a relevant statement	1

Answer could include

There is a conflict that exists when attempting to achieve economic objectives simultaneously. Policies implemented by government to achieve one objective can lead to the detriment of another objective. For example, there is a short run trade-off between economic growth and price stability. This is because in the short run, aggregate demand is a source of economic growth, however high levels of AD may lead to demand pull inflation if

aggregate demand is greater than aggregate supply in the economy. This may pull inflation beyond the RBA's target band of 2- 3% on average over the cycle and thus detrimental to price stability. Currently, the RBA has employed contractionary MP to lower inflation to meet the objective of price stability and this has been to the detriment of eco growth. This is because high interest rates dampen AD through the S-I channel, as households spend more income repaying mortgages and spending less in the economy and the wealth effect reduces consumer sentiment in the economy.

Sample Student Answer

(c) Discuss the use of market-based policies and regulations to achieve environmental sustainability. In your answer refer to examples.

<i>Criteria</i>	<i>Marks</i>
Provides comprehensive arguments for and/or against the use of market-based policies and regulations to achieve environmental sustainability and refers to detailed examples	4
Provides arguments for and or against the use of market-based policies and regulations to achieve environmental sustainability and refers to detailed examples	3
provides arguments for and or against the use of market-based policies or regulations to achieve environmental sustainability and refers to examples OR Sketchers in general terms market-based policies and regulations to achieve environmental sustainability and refers to examples	2
Makes a relevant statement about market-based policies or regulations	1

Answer could include

Market based policies are quantity or price interventions in the market used to change consumer or producer behaviour to improve environmental outcomes. An example of a market-based mechanism is the safeguard mechanism which applies to facilities that emit more than 100,000 t of CO₂ equivalent in a year. It sets legislated targets, known as baselines, on the net greenhouse gas emissions of the covered safeguard facilities. Firms that don't meet their targets are able to trade credits for cash to other polluting firms in a *cap and trade* system. The argument for this system is that it provides business with a financial incentive to reduce emissions. The argument against a *cap and trade* system is that for some large polluters, it may be more profitable to continue polluting and buy credits from other producers which does not reduce the firm's emissions.

Regulations are laws that prevent conduct that damages the environment or permit conduct that damages the environment up to a certain limit. An example is the Fuel Quality Standards Act 2000 which regulates the quality of fuel supplied in Australia to reduce the level of pollutants and emissions arising from the use of fuel that may cause environmental and health problems. Includes a prohibition on selling leaded fuels. An advantage of using regulations is that they are enforceable and applied to all households and firms so that the negative behaviour will cease, and this benefits the environment. A negative impact of regulations is that firms and consumers need to shift to supplementary goods and production types which in the short run, may be more expensive and drive-up inflation

Sample Student Answer

Question 25 (20 marks)

Discuss policy options the Government can use to maintain price stability in Australia. In your answer refer to the information provided.

Criteria	Marks
• Synthesises own knowledge and understanding with the information provided to develop a sustained, logical and cohesive response • Integrates relevant economic terms, concepts, relationships and theory • Makes a well-informed judgement about the impact of global factors on Australia's external stability and inflation.	17–20
• Applies own knowledge and understanding with the information provided to develop a logical and cohesive response • Applies relevant economic terms, concepts, relationships and theory • Makes some judgement about the impact of global factors on Australia's external stability and inflation.	13–16
• Uses own knowledge and understanding with the information provided to develop a coherent response • Uses relevant economic terms, concepts, relationships and theory • Demonstrates some understanding of the impact of global factors on Australia's external stability and inflation.	9–12
• Presents a generalised response • Uses some economic terms • Sketches in general terms some aspects of external stability and/or inflation and/or global factors influencing external stability and/or inflation	5–8
• Presents a limited response with some relevant information • Uses some economic terms	1–4

Answers could include:

Monetary policy effective at targeting demand pull inflation via the transmission mechanism.

Monetary policy can address imported inflation via exchange rate

Monetary policy has a medium-term effectiveness lag

Monetary policy is a macro policy and cannot address cost inflation directly.

Fiscal policy as an AD policy can address demand pull inflation

Not the primary role of FP to address inflation

Fiscal policy faces political constraints when addressing inflation

Micro as a supply side policy can address cost inflation

Significant effectiveness time lags and political constraint

Question 26 (20 marks)

Discuss the impact of the Australian Governments labour market policies on the Australian economy. In your answer refer to the information provided.

Criteria	Marks
● Synthesises own knowledge and understanding with the information provided to develop a sustained, logical and cohesive response ● Integrates relevant economic terms, concepts, relationships and theory ● Makes a well-informed judgement about the impact of global factors on Australia's external stability and inflation.	17–20
● Applies own knowledge and understanding with the information provided to develop a logical and cohesive response ● Applies relevant economic terms, concepts, relationships and theory ● Makes some judgement about the impact of global factors on Australia's external stability and inflation.	13–16
● Uses own knowledge and understanding with the information provided to develop a coherent response ● Uses relevant economic terms, concepts, relationships and theory ● Demonstrates some understanding of the impact of global factors on Australia's external stability and inflation.	9–12
● Presents a generalised response ● Uses some economic terms ● Sketches in general terms some aspects of external stability and/or inflation and/or global factors influencing external stability and/or inflation	5–8
● Presents a limited response with some relevant information ● Uses some economic terms	1–4

Answers could include:

Job Seeker, Jobkeeper, childcare subsidy, decentralisation of wage determination, centralised wage determination, Fair Work Act, training programs, free TAFE

Question 27 (20 marks)

Analyse the effect of changes in the value of the Australian dollar on the Australian economy.

Criteria	Marks
• Synthesises own knowledge and understanding with the information provided to develop a sustained, logical and cohesive response • Integrates relevant economic terms, concepts, relationships and theory • Demonstrates factually precise and extensive knowledge of the value of the Australian dollar and its effect on the Australian economy	17–20
• Applies own knowledge and understanding with the information provided to develop a logical and cohesive response • Applies relevant economic terms, concepts, relationships and theory • Demonstrates a good knowledge of the value of the Australian dollar and its effect on the Australian economy	13–16
• Uses own knowledge and understanding with the information provided to develop a coherent response • Uses relevant economic terms, concepts, relationships and theory • Demonstrates some understanding of the value of the Australian dollar and suggests some possible effects on the Australian economy	9–12
• Presents a generalised response • Uses some economic terms • Sketches in general terms the effects of changes in the value of the Australian dollar and makes reference to the Australian economy	5–8
• Presents a limited response with some relevant information • Uses some economic terms	1–4

Answers could include:

- Definition of exchange rate – Bi-lateral vs Multi-lateral (TWI)
- Exchange rate determination – demand and supply factors & possible graphs
- Student deals with both appreciation and depreciation but notes that most recent history has seen a trending depreciating dollar.
- Drivers of exchange changes (Relevant to the Australian ER story)
 - Demand factors – mining boom, TOT, China, FDI etc
 - Supply factors – Negative interest rate differential
- Exchange rate changes and reasons
 - Economic Growth (through X-M)
 - Employment (Trade exposed industries)
 - Inflation (imported/cost push aspects)

- o External Stability (BOP impacts)

- Alternatively (examine via Individuals, Business & Governments)

- o Impact on individuals (purchasing power, structural unemployment, import demand)

- o Impact on business (exporting businesses (Dutch Disease) vs importing businesses)

- o Impact on Government (structural unemployment, Subsidy payments, Revenue impacts)

Question 28 (20 marks)

Analyse the impact of global and domestic free trade and protection policies on the Australian economy.

Criteria	Marks
• Synthesises own knowledge and understanding with the information provided to develop a sustained, logical and cohesive response • Integrates relevant economic terms, concepts, relationships and theory • Demonstrates factually precise and extensive knowledge of the effects of domestic and global free trade and protection policies	17–20
• Applies own knowledge and understanding with the information provided to develop a logical and cohesive response • Applies relevant economic terms, concepts, relationships and theory • Demonstrates a good knowledge of the effects of domestic and global free trade and protection policies	13–16
• Uses own knowledge and understanding with the information provided to develop a coherent response • Uses relevant economic terms, concepts, relationships and theory • Demonstrates some understanding of the effects of domestic and global free trade and protection policies	9–12
• Presents a generalised response • Uses some economic terms • Sketches in general terms some effects of domestic and global free trade / protection policies	5–8
• Presents a limited response with some relevant information • Uses some economic terms	1–4

Answers could include:

Free Trade and Globalisation....

- Free trade
- Absolute and Comparative advantage
- Efficient allocation of resources
- Falling level of protection in Australia
- Trading blocs
- WTO, APEC
- Bilateral, multilateral agreements •
- Industry plans – TCF, Motor vehicles
- Level playing field
- Employment

- Consumer
- The role of structural change and its impact on domestic industry
- Structural unemployment

Best answers: Introduced the concepts of free trade and protection. Then went on to set the context of what has actually happened in regards to the Australian economy and protection. That is high levels of protection and then cuts from the 70's with Whitlam and then successive governments. This needed to be backed up with specific policies and figures. Best responses then went on to EXPLAIN the impact of these changes on FIG's. Explanation of FTA's on Australia was then done well. Also there was a need for the answer to write about the impact of being left out of Trading Blocs such as the EU.

Overall Marker Comments